Staff Report

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To: City Council

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Subject: **Considering a recommendation from the Infrastructure & Franchise Committee to adopt a Resolution calling for and giving notice of a November 3, 2026, election on a proposed Business License Tax Simplification Ballot Measure; and establishing the policies and procedures for such an election and requesting that the County of Contra Costa conduct such an election. (General Fund)**

CEQA: Exempt per Public Resources Code section 21065, 21080(b)(8), CEQA Guidelines Sections 15378(b)(4), 15061(b)(3), 15273, and/or 15060.

Report in Brief

In March 2025, the City Council directed staff to work with the Council Committee on Infrastructure & Franchise (Committee) to explore solutions for addressing the City's infrastructure funding shortfall and identified this effort as a Tier 1 priority. The City Council reaffirmed this priority in March 2026, underscoring the importance of developing a sustainable funding strategy to address the City's long-term infrastructure needs.

This report summarizes the work completed by the Committee in response to the City Council's direction to address the City's growing unfunded infrastructure needs. Through extensive financial analysis, multi-phase public engagement, statistically valid voter research, and direct outreach to Concord's business community, the Committee evaluated potential funding strategies and recommends the City Council place a Business License Tax Simplification Measure on the November 2026 ballot.

The current Business License Tax structure, established in 1978, is outdated, regressive, and difficult for businesses to navigate. For example, a business with $25,000 in annual gross receipts revenue pays an effective tax rate more than double that of a business with $15 million in gross receipts. A simplified, modernized system, including a uniform rate structure of $1.00 per $1,000 in gross receipts for gross receipts-based businesses, would create a more equitable and transparent framework while generating approximately $3 million more annually in locally controlled revenue. This revenue would remain under local control and would not be subject to state actions modifying shared tax distributions or redirecting funding to address statewide priorities. While local taxes are now largely protected by the State Constitution, the state continues to control statewide tax structures and has historically redirected certain revenue streams to balance its budget or fund mandated programs. These funds would support roadway rehabilitation, public safety response, parks, and other essential infrastructure and City services.

Recommended Action
Adopt a Resolution calling for and giving notice of a November 3, 2026, election on a proposed Business License Tax Simplification Ballot Measure; and establishing the policies and procedures for such an election and requesting that the County of Contra Costa conduct such an election.

Note: This resolution requires a four-fifths vote of Council for approval.

Background
Committee Deliberations
Since August 2025, the Council Committee on Infrastructure & Franchise has conducted a comprehensive review of Concord's long-term infrastructure funding needs and evaluated potential local revenue options to address the City's growing funding gap.

The Committee found the City faces an estimated annual infrastructure funding shortfall of at least $24.7 million, including approximately $18 million needed each year to maintain roadway conditions at the current Pavement Condition Index (PCI) of approximately 58 and an additional $6.7 million for park, median, and public facility maintenance. Significant unfunded needs also remain for aging infrastructure systems, including stormwater facilities, streetlights, traffic signals, and other public assets. This funding gap is the result of decades of deferred maintenance, rising construction costs, inflation, and limited growth in reliable local revenues. While the City has made substantial investments through Measure V, borrowing, grant funding, American Rescue Plan Act (ARPA) resources, and operational efficiencies, existing revenues remain insufficient to meet long-term infrastructure needs.

During its March 1, 2025, Study Session, the City Council identified addressing unfunded infrastructure needs as a Tier 1 priority and directed the Committee and staff to develop a long-term funding strategy. The Council emphasized that any proposed

solution should protect residents from significant cost increases, support economic vitality, reflect community and business input, provide a fair and transparent revenue structure, and strengthen the City's long-term fiscal sustainability.

Between August 2025 and June 2026, the Committee conducted an extensive evaluation of nine potential revenue strategies identified through the City Council's Tier 1 infrastructure funding directive. After reviewing fiscal impacts, legal considerations, administrative feasibility, community implications, and alignment with long-term infrastructure needs, the Committee ultimately narrowed the list to five strategies warranting more detailed study. These five strategies were selected for their revenue potential, policy viability, and ability to integrate into a multi-year funding plan:

- Business License Tax simplification and modernization, focusing on correcting long-standing inequities and improving administrative transparency
- Parcel Tax for core City services, designed to provide a stable source of operational funding
- General Obligation Bonds, supporting large-scale capital investments in roadways, facilities, and public safety infrastructure
- Real Property Transfer Tax paired with Charter City conversion, offering long-term revenue growth opportunities for major infrastructure needs
- Updates to existing Benefit Assessment Districts, intended to stabilize funding for neighborhood-level improvements and maintenance

These five strategies emerged as the most feasible, equitable, and effective options from the nine revenue measures initially evaluated and became the focus of the Committee's work beginning in January 2026. The Business License Tax simplification measure was identified as an initial step in a long-term, multi-year, and multi-phase plan to address the City's unfunded needs gap.

The Committee also evaluated several additional revenue options, including a Utility Users Tax, a User Tax on App-Based Services, and a Vacant Commercial Property Tax. These alternatives were not advanced because of legal considerations, administrative complexity, limited revenue potential, or concerns raised during the evaluation process.

Business License Tax

A Concord business license is required annually for anyone conducting business with the City, including home-based and brick-and-mortar businesses of all trades, professions, and occupations. This tax is paid directly by businesses and is not charged to residents; the City collects the tax only from commercial operators. Tax exempted businesses include charitable and non-profit organizations and certain businesses with

gross receipts of less than $3,600. A full list of exemptions can be found in the City's Municipal Code section 5.05.

The Business License Tax helps the general fund support essential City services such as roadway rehabilitation, pothole repair, public safety response, keeping public areas clean and safe, parks, and other essential infrastructure and quality of life City services. These services are utilized by businesses, their employees and customers, and contribute to making Concord a great place to live, visit, shop, and conduct business.

To support the Committee's analysis, staff and consultants evaluated the City's existing Business License Tax structure, modeled alternative tax structures, assessed impacts on businesses of different sizes, identified implementation considerations, and evaluated interest in a potential ballot measure. The analysis found that simplifying the Business License Tax would improve equity across the business community, streamline administration, increase transparency, and generate approximately $3 million more annually in locally controlled revenue.

The Committee also considered statistically valid public opinion research conducted in 2026. Survey results showed support of up to 66 percent for a Business License Tax Simplification Measure that ensures smaller businesses pay less than larger businesses, along with identifying community priorities including investments in roadway rehabilitation, emergency response services, and infrastructure such as playgrounds and traffic reduction efforts.

Business outreach was a key component of the Committee's work. Staff conducted two smaller business roundtables with local retailers and service providers, whose participants consistently supported simplifying and modernizing the Business License Tax, improving fairness across businesses of different sizes, maintaining a predictable business environment, and clearly communicating how revenues would be invested in local infrastructure.

Staff also met with the Concord Chamber of Commerce to present the City's infrastructure funding challenges, review Business License Tax alternatives, and receive feedback from the business community. Chamber members emphasized the importance of transparency, predictability, and maintaining a business-friendly environment.

In addition to business outreach, staff met with a group of community members who expressed interest in learning more about the City's work to address long-term infrastructure funding needs. The discussion was highly engaged, with participants asking thoughtful questions, providing constructive feedback, and expressing appreciation for the Committee's thorough evaluation process. Overall, attendees voiced support for the proposed approach and indicated that they viewed a potential

Business License Tax Simplification Measure as a reasonable strategy for addressing the City's infrastructure needs while modernizing an outdated tax structure.

The City's Economic Advisory Group, representing major employers, healthcare providers, educational institutions, commercial property owners, and business organizations, also reviewed the proposal. While the group did not take a formal position on Business License Tax simplification measure, members encouraged careful consideration of implementation, predictability, and potential impacts on larger employers.

Taken together, the Committee's financial analysis, public opinion research, and extensive outreach to business, community members, and key stakeholder groups pointed toward the same conclusion: simplifying and modernizing the City's outdated Business License Tax structure would create a fairer, more transparent system while providing a locally controlled funding source to help address Concord's long-term infrastructure needs. The consistent feedback received throughout the process demonstrated broad understanding of the City's infrastructure challenges and strong support for investing in the community's long-term vitality.

Analysis
The Committee's evaluation quantified how the City’s Business License Tax structure created inequities across businesses of different sizes. Since the existing gross receipts tax is based on graduated gross receipts tiers, businesses with lower revenues often pay a higher effective tax rate than larger businesses. For example, a business with annual gross receipts of $25,000 pays a tax of $1.00 per $1,000 in gross receipts, resulting in an effective tax rate of 0.10 percent, while a business with $15 million in gross receipts pays approximately 0.04 percent. As a result, smaller businesses bear a proportionally greater tax burden despite having fewer financial resources.

The Committee also reviewed historical information that included budget reductions since the Great Recession. That review found that further reductions are not a viable solution. Since before the Great Recession, the City has reduced its staffing levels by approximately 19 percent while implementing numerous operational efficiencies to maintain fiscal stability. During that period, the City reorganized departments, consolidated functions, restructured employee benefit programs, deferred capital investments, leveraged grant funding, implemented hiring freezes, reduced service levels, and relied on one-time funding sources to address immediate needs. These actions enabled the City to maintain core services despite significant economic challenges but also reduced the City's operational flexibility.

Today, the City operates with substantially fewer staff and limited capacity to absorb additional reductions. Maintenance backlogs have grown, infrastructure has continued to age, and employees have assumed broader responsibilities while maintaining essential public services. Reducing the General Fund by an amount sufficient to

address the City's estimated $25 million annual infrastructure funding need would require significant reductions to core City services, including public safety, parks, recreation, facility maintenance, and roadway operations. Such reductions would fundamentally diminish the City's ability to provide essential services, respond to emergencies, and maintain community assets.

Given these findings, the Committee concluded that identifying a sustainable, locally controlled revenue source was necessary to address the City's long-term infrastructure funding gap while preserving essential City services. As part of that effort, the Committee evaluated several alternatives for simplifying the Business License Tax to improve equity, simplify administration, and generate additional revenue. For example, a revised tiered structure with fewer categories was considered that would simplify the existing system but would continue to produce unequal effective tax rates across businesses. A progressive tax structure was also evaluated because it was promoted by some members of the business community; however, staff analysis determined that it would shift a greater share of the tax burden to larger employers, raising concerns about competitiveness, predictability, and potential impacts on business investment.

After evaluating each option, the Committee concluded that a uniform rate structure of $1.00 per $1,000 in gross receipts for gross receipts-based businesses provides the strongest balance of equity, simplicity, administrative efficiency, and revenue generation. Under a uniform rate structure, gross receipt-based businesses would be subject to the same tax rate regardless of size, eliminating the regressive characteristics of the current system. The simplified structure would be easier for businesses to understand, easier for the City to administer, and is projected to generate approximately $3 million more annually in locally controlled revenue. This approach is also consistent with the smaller-business priorities identified during the Committee’s outreach process, as described above.

The Committee also considered the timing of a potential ballot measure. The November 2026 election is expected to include several local and regional funding measures, creating a competitive environment for voter attention. As the public opinion research described above found, voters responded most favorably to measures that were straightforward, transparent, and clearly tied to infrastructure and City service. The proposed Business License Tax Simplification Measure aligns with those findings by providing a simple, transparent, and equitable tax structure while dedicating locally controlled revenue to roadway rehabilitation, infrastructure improvements, parks, public safety response, and other essential City services.

Based on all the financial analysis, public engagement, business outreach, and public opinion research, the Committee determined that simplifying the Business License Tax represents the most practical and effective local revenue strategy evaluated. The proposed uniform rate structure addresses inequities in the current system, simplifies administration, generates approximately $3 million in annual locally controlled revenue

that cannot be taken by the State, and reflects the priorities identified by residents and the business community throughout the Committee's review process. Accordingly, the Infrastructure & Franchise Committee recommends the City Council place a Business License Tax Simplification Measure on the November 2026 ballot.

Alternative
Do not place a Business License Tax Simplification Measure on the November 2026 ballot and instead direct staff to identify alternative revenue sources and additional budget reductions to address the City's projected annual infrastructure funding gap.

Under this alternative, the City would continue to face a significant structural funding shortfall for roadway rehabilitation, parks, public facilities, and other critical infrastructure. Roadway maintenance and street paving would remain substantially underfunded, resulting in continued deterioration of the City's street network and a declining Pavement Condition Index. Because the City has already reduced staffing levels by approximately 19 percent since before the Great Recession and implemented significant operational efficiencies, identifying sufficient budget reductions would likely require substantial cuts to core City services, including public safety, parks, recreation, facility maintenance, and other essential community services.

Financial Impact
If approved by the voters, the proposed Business License Tax Simplification Measure would take effect on January 1, 2027, and is projected to generate approximately $3 million in additional annual, locally controlled revenue that cannot be taken by the State. The revenue would be available to support roadway rehabilitation, infrastructure improvements, public safety response, parks, and other essential City services.

The final cost of placing the measure on the November 2026 ballot will depend on the number of measures submitted to the County and other election-related factors. Staff estimates the City's share of election costs specific to this Measure to be approximately $30,000. Sufficient funding is available within the FY 2026-27 Adopted Budget to absorb these costs.

Environmental Determination
Exempt from the California Environmental Quality Act (Public Resources Code §§ 21000 et seq., “CEQA,” and 14 Cal. Code Reg. §§ 15000 et seq., “CEQA Guidelines”) including without limitation Public Resources Code section 21065, CEQA Guidelines section 15378(b)(4) and 15061(b)(3), as it can be seen with certainty that there is no possibility that the activity authorized herein may have a significant effect on the environment and pursuant to Public Resources Code section 21080(b)(8), and is statutorily exempt pursuant to CEQA Guidelines section 15273 as the approval of government revenues to fund existing services. The Business License Tax Simplification Ballot Measure to be submitted to the voters is a general tax that can be used for any legitimate governmental purpose; to enact it is not a commitment to any

particular action. As such, under CEQA Guidelines Section 15378(b)(4), the tax is not a project within the meaning of CEQA because it creates a government funding mechanism that does not involve any commitment to any specific project that may result in a potentially significant physical impact on the environment. If revenue from the tax were used for a purpose that would have such effect, the City would undertake the required CEQA review for that particular project. Therefore, under CEQA Guidelines Section 15060, review under CEQA is not required.

Public Contact

The City Council Agenda was posted. Notice of this meeting was provided through multiple outreach channels, including e-news announcements distributed to approximately 15,000 subscribers, emails sent to an interested parties list of approximately 240 residents and businesses, and notification to the Concord Chamber of Commerce.

Attachments

1. Resolution Calling for and Giving Notice of a November 3, 2026, Election on a Proposed Business License Tax Simplification Ballot Measure; and Establishing the Policies and Procedures for Such an Election and Requesting that the County of Contra Costa Conduct Such an Election
    - Exhibit A- Proposed Ordinance No. 26-XX
        - Exhibit 1 thereto- Redlined Changes to Concord Municipal Code Title 5 (Business Licenses and Regulations) Chapter 5.05 (Business Licenses)